CG Session 12

Session 12: Is Corporate Governance Inevitable? A Long-Term Perspective

Why this session matters

Corporate governance is not a modern invention, and it is not settled. In February 2025 the Financial Times reported that the new United States administration was tilting the balance of power from investors toward company bosses: the Securities and Exchange Commission said it would consider letting companies limit the risk of shareholder lawsuits by pushing disputes into private resolution, and days later the president called for dropping the quarterly reporting rules in place for decades. John Coffee of Columbia Law School answered that the low American cost of capital rests precisely on transparency and on shareholders' ability to go to court; Gary Gensler, former chairman of the Securities and Exchange Commission, read the moves as protecting corporate management rather than empowering the actual owners, the shareholders. This session shows that the underlying question is two centuries old: how much power should managers have, and how much protection should investors get? As Bob Tricker, the father of corporate governance, put it to Adrian Cadbury in 1984: corporate governance is old, only the phrase is new.

At the origins: the one share, one vote question

The first corporate governance problem was voting rights. In early nineteenth century America, many manufacturing companies had restricted voting rights, though they were a small minority of firms; banks were another matter entirely: 50% of New Jersey banks and 53% of banks at the national level between 1790 and 1859 restricted voting rights.

The aim of these restrictions was to establish a form of democracy by eliminating the special privileges of some members and by limiting the number of votes each shareholder could cast, irrespective of the number of shares held. A new concept of democracy indeed.

> **Worked example: the Virginia voting scale of 1836.** Under a law passed by the State of Virginia in 1836, shareholders of manufacturing corporations cast one vote for each share up to 15 shares, one vote for every five shares from 15 to 100, and one vote for each increment of 20 shares above 100 shares.
> Step 1: a shareholder with 10 shares casts 10 votes, one per share.
> Step 2: a shareholder with 100 shares casts 15 votes for the first 15 shares, plus 85 / 5 = 17 votes for the remaining 85 shares, for a total of 32 votes.
> Step 3: a shareholder with 140 shares casts 32 votes for the first 100 shares, plus 40 / 20 = 2 votes for the last 40 shares, for a total of 34 votes.
> Compare: under a strict one share, one vote rule, the second shareholder would cast 100 votes and the third 140. The scale compresses the voting power of large holders: 140 shares buy only 34 votes. This is the original trade-off between capital's weight and members' equality, and it has never disappeared.

From the robber barons to the agency problem

The late nineteenth century produced the symbols of early big American capitalism, John Davidson Rockefeller (1839-1937) and John Pierpont Morgan (1837-1913), and the reaction followed: the antitrust law of 1890, the Sherman Act, and the Clayton Act of 1914 against predominant positions. The same era created new actors: the pioneers of the rating agencies, Henry Varnum Poor (1812-1905), Charles Dow (1851-1902) and John Moody, with still limited powers.

Then business development did the rest. Increasing financial needs and the multiplication of factories produced the separation between ownership and management, and with it a new professional figure: the salaried manager, the captain of industry. Two main effects unfolded between the beginning of the twentieth century and the 1930s:

- **A growing separation between ownership and control**, as new cohorts of salaried managers and professionals were hired. The consequence: the rise of agency conflicts, the origin of the conflict between principal and agent that agency theory formalizes.
- **A worsening of those conflicts**, as large blockholders declined in number and small shareholders, scarcely interested in supervising management's actions, became prevalent. A small shareholder bears the full cost of monitoring but captures only a tiny share of its benefit, so nobody monitors.

1929 and the regulatory answer

After the 1929 crisis, the new critics identified the key issue as the amount and the quality of the information available to shareholders, together with the excessive concentration of power inside firms, particularly listed companies. The answer came in 1934 with the introduction of the Securities and Exchange Commission, chaired first by Joseph Kennedy, and new rules on the transparency and amount of information for the market.

The effects were not only positive: boards became less independent, their size increased, and local director

monitoring weakened. Regulation changed the shape of the problem rather than ending it, which is why the session calls the underlying dilemma never ending:

> **The never-ending dilemma:** how to balance limits on managerial discretion and small investor protection? Should one limit the power of corporate large shareholders (or voting trusts), or should one tolerate concentrated voting power as a way of limiting managerial discretion?

From managerial theories to the first codes

The postwar decades moved in waves. The 1960s developed managerial theories. The 1970s brought the harmonization of company laws in Western Europe, audit committees in the United States and the United Kingdom, and the rise of corporate social responsibility toward the environment, consumers and local communities; in the United Kingdom the debate turned on the rules for public companies and their social responsibility. Europe's start was arguably too timid: the Commission proposal for a fifth directive on the European Company statute was presented in 1970 and drafted in 1972, while Germany (and the Netherlands) adopted the two-tier system for public limited companies with more than 500 employees, consolidated by the German codetermination law of 1976. The 1980s reversed the wind: the Reagan and Thatcher liberalization process put profit back as the guide, against a backdrop of scandals such as insider trading and the Bank of Credit and Commerce International; in the United States, the Treasury Commission against fraudulent financial reports led to the establishment of the Commission on Fraudulent Financial Reporting and to recommendations for independent auditors.

Then the world changed: the end of the Soviet Union, the privatization process, the rise of institutional investors, the failure of famous big firms, financial market integration and merger and acquisition strategies. Privatization in particular was read by Biais and Perotti (2002) as an attempt to recreate a form of shareholder democracy, a new start for corporate democracy.

The Cadbury Committee and the code movement

The first code of corporate governance was produced in 1992 by the Cadbury Committee, chaired by Sir Adrian Cadbury, chairman of Cadbury Schweppes.

- **Reason:** the increasing lack of trust in, and accountability of, the management of listed companies after scandals and corporate failures (Wallpaper Coloroll, the Maxwell Group), themselves the consequence of criminal outlaw practices such as the Bank of Credit and Commerce International.
- **Promoters:** the Financial Reporting Council, the London Stock Exchange and the Association of Professional Accountants.
- **Main points:** the introduction of independent directors, the instruction of audit committees, a definition of the different responsibilities of the chief executive officer and the board, nomination committees, and the comply or explain principle.

> **Comply or explain:** companies must either follow the code's recommendations or publicly explain why they do not. Flexibility with transparency, instead of rigid law.

The first wave of codes followed in the United Kingdom: the Greenbury Committee (Marks & Spencer) in 1995, then the Hampel Committee (ICI), which reframed the objective: enrich shareholders, not just make managers accountable. The Economist mocked the proliferation of narrow rules and topics: "The boardroom is becoming a cottage industry."

At the beginning of the 2000s, a new wave of scandals and failures, Enron above all, accelerated the global demand for transparency, accountability and minority protection. That demand became increasingly global as the institutional investment industry globalized, asking for relatively homogeneous behavior across borders. The result was the OECD Principles of Corporate Governance, issued and revised in 1999, 2004, 2011, 2012, 2013 and 2014.

The never-ending criticalities, in today's numbers

The old problems persist under new forms:

- **LVMH**, one of Europe's most successful public companies: the founding family controls 50.01% of the shares and 65.94% of the voting rights, and proposes to nominate two more sons of the founder to its board. A bare majority of the capital buys a two-thirds grip on decisions: cash-flow rights and control rights have been decoupled.
- **Meta and Alphabet**: dual-share structures that, in the words of the critical commentary quoted in class, laugh in our faces.
- **Japan**: more than 40 billion dollars of overseas money poured into Japanese stocks over twelve months despite a spider web of cross-shareholdings.

And the closing question of the session is the one that opened it. Managers, as shareholders' agents, are tasked with running the business in the shareholders' best interest; yet there is little chance for the shareholders to judge whether the managers are actually working in their interest. The market rules, yes, but the governance question is how, and for whom.

What you must walk away with

Must know:

• The first corporate governance problem was voting rights: restricted voting was common among early American banks (50% of New Jersey banks, 53% nationally, 1790-1859), and scales like Virginia's 1836 law deliberately capped large holders' votes.

• The separation of ownership and management created the agency conflict, worsened by the decline of large blockholders and the prevalence of small shareholders with no incentive to monitor.

• The 1929 crisis put information quality at the center and produced the Securities and Exchange Commission in 1934, with side effects: less independent, larger boards and weaker local monitoring.

• Cadbury 1992 is the first code: independent directors, audit committees, separation of chief executive and board responsibilities, nomination committees, comply or explain. Greenbury 1995 and Hampel followed, then Enron and the OECD Principles (1999-2014).

• The dilemma is structural: limiting managerial discretion versus protecting small investors, and whether to tolerate concentrated voting power as a check on managers. LVMH's 50.01% of shares against 65.94% of voting rights is what that dilemma looks like today.